

[doc. web n. 9993105]

Provision of January 24, 2024

*The provision has been challenged

Register of provisions

n. 40 of January 24, 2024

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN today's meeting, attended by

Prof. Pasquale Stanzione, President, Prof.

Ginevra Cerrina Feroni, Vice President, Dr.

Agostino Ghiglia and Attorney Guido Scorza, members, and

Counsel Fabio Mattei, Secretary General;

HAVING REGARD TO Regulation (EU) 2016/679 of the European Parliament and of the Council, of April 27, 2016 (hereinafter, "Regulation");

HAVING REGARD TO the Code regarding the protection of personal data, containing provisions for the adaptation of the national legal system to Regulation (EU) 2016/679 (Legislative Decree of June 30, 2003, n. 196, as amended by Legislative Decree of August 10, 2018, n. 101, hereinafter "Code");

HAVING REGARD TO the complaint submitted pursuant to Article 77 of the Regulation by Mr. XX against MP1 s.r.l.;

HAVING EXAMINED the documentation on file;

HAVING REGARD TO the observations made by the Secretary General pursuant to Article 15 of the Guarantor's regulation n. 1/2000;

REPORTING Attorney Guido Scorza;

PREMISED

1. The complaint against the company and the investigative activity.

By complaint dated August 3, 2021, Mr. XX alleged purported violations of the Regulation by MP1 s.r.l. (hereinafter, the Company), regarding the lack of response to the exercise of the right to object, limitation of processing, and deletion of data processed via the email address XX, assigned within the framework of the professional collaboration relationship with the Company.

In particular, it was stated that the interested party used the aforementioned email address until December 31, 2020, for a period even after the termination of the collaboration relationship, which occurred on July 27, 2020, based on an agreement made with the Company.

Following the Company's inhibition of the availability of the aforementioned email address, as alleged, the complainant requested, also through the submission of a formal notice, the deletion of the account. After receiving a communication dated April 9, 2021, in which the Company stated that it had "redirected incoming mail to another dedicated mailbox; this, solely for the purpose of managing related orders and informing its customers [...] that [the complainant] no longer collaborates with MP1," on July 7, 2021, the complainant submitted a formal request to exercise his rights. The Company did not respond to this request.

Therefore, the complaint requested the Authority to order the data controller to comply with the requests for the exercise of rights submitted by the interested party and, in case of non-compliance, to "impose a ban on the unlawful processing consisting of the continued activity of the account related to the complainant." The complaint also requested to "impose on the company [...] a suitable sum as compensation for damages resulting from the unlawful behavior."

The Company, in response to an invitation to comply with the requests of the interested party sent by the Authority, in a note dated May 9, 2023, stated that:

a. "this matter, along with other judicial proceedings, arises from the termination of the collaboration relationship between the parties and specifically with reference to the transfer by [another company], of which [the complainant] is the legal representative, of minority shares to MP1" (note 9/5/2023, p. 3);

- b. "After the transfer of the shares in favor of [the Company], the latter complained against [the complainant] of unlawful conduct in terms of client diversion [...], perpetrated [...] also through the use of the corporate account that is the subject of the complaint" (cited note, p. 3);
- c. in this context "in response to the request for the dismissal of the account [by the complainant, the Company] clarified that it had already long since redirected incoming mail on the account in use by the interested party [...] and only to complete the transitional management of commercial orders handled for many years (since 2012) by its collaborator" (cited note, p. 4);
- d. "in the subsequent month of July 2021 and after the formal request from [the complainant], the account in question was definitively deactivated" (cited note, p. 4);
- e. "it is believed that the conduct maintained [by the Company] in managing the data of the account in question was correct, as there was no unlawful processing of the data passing through the mailbox, which contained non-personal content, being a corporate email dedicated solely to the management of commercial orders directed to the Company" (cited note, pp. 4-5);
- f. "the technical measure adopted [by the Company] during the cessation of the telematic account in use by the interested party [was] correct and such as to prevent a significant breach under the relevant legislation, having [the Company] informed the users of the mailbox about the need to direct the commercial orders sent to it to a different dedicated email address" (cited note, p. 5).

In response to a request for further information and clarifications, the Company, in a note of 10 May 2023, subsequently stated that:

- a. with reference to the management of corporate email "the employees and collaborators of the Company [...] authorize the same, in the person of the data protection officer [...] to the relevant processing through a specific notice [...], while for the management of the relevant corporate accounts [...] each user is assigned a temporary password by the management server that each user is free to change";
- b. the legal representative of the Company had access to the account subject to redirection through the use of a "dedicated email [...]" used by the same [legal representative] as well as by the staff responsible for the commercial management of orders."

2. The initiation of the procedure for the adoption of corrective measures and the Company's submissions.

On 1 September 2023, the Office notified the Company of the alleged violations of the Regulation found, with reference to Articles 5, 12, and 17 of the Regulation, pursuant to Article 166, paragraph 5, of the Code.

In defensive memoranda sent on 29 September 2023, the Company stated that:

- a. "it is believed that no conduct of the Company is relevant under Article 12 of the Regulation, having [the Company] informed the complainant about the temporary management of the corporate account and the corrective actions taken, well before the formal exercise of the action and the formalization of the complaint" (note 29/9/2023, p. 1);
- b. "this occurred, as already documented, in the correspondence exchanged between the respective lawyers and within a long negotiation aimed at resolving various pending issues between them, arising from the complainant's exit from the corporate structure" (cited note, p. 1);
- c. the complainant "was promptly informed of the forwarding (in-forward) to another email address of the communications passing through the reference account, according to a legitimate indirect use method under Article 12, as no sensitive and/or personal data was processed concerning the exclusively 'commercial' content of the communications related to orders intended directly for the Company" (cited note, p. 1);
- d. "with this conduct, the Company certainly respected the principle of data minimization, as invoked in the communication initiating the procedure, with reference to the exclusively 'commercial' purposes of the use, without invading the personal sphere of the complainant" (cited note, p. 1);
- e. "the Company legitimately continued to manage the ongoing order flow and maintained relationships with customers without invading the personal sphere of the interested party, thus achieving that adequate balancing of the interests at stake (the necessity of continuing the economic activity of the data controller and the right to privacy of the interested party), as recalled by the Guarantor, subsequently proceeding to the definitive closure of the account, effectively responding to the deletion

request formalized by the interested party; this, in full compliance with the right to data deletion provided for by Article 17, albeit with informal timing and methods not provided for by the regulation” (cited note, p. 1-2);

f. “regarding the definitive cessation of the account and the related timing, it is highlighted the impossibility of the [Company] to document with certain and precise date the actual decommissioning date of the address [...], as the manager of the mailbox was unable [...] to provide a complete chronological report, but only limited to certain periods of operation of the mailbox under management, for which under this profile no responsibility can fall on the Company” (cited note, p. 2);

g. “it is believed that the Company acted in absolute good faith and in compliance with the relevant norms and prescriptions, considering that any shortcomings identified by the Guarantor according to the evaluative criteria of the conduct referred to in Article 83, paragraph 2, are not sanctionable, and therefore the archiving of the present procedure is requested” (cited note, p. 2).

During the hearing requested by the Company, held on 16 November 2023, it finally argued, among other things, that “the Company has substantially complied with the request of the interested party regarding the deletion of the account. It has already been documented how in reality the obligations related to the interested party's request have been fulfilled even if outside the rules for exercising rights, considering that there was an exchange between the lawyers of the Company and those of the complainant within a broader context.”

Furthermore, “any conduct attributed to the Company would be justified under Article 17, paragraph 3, letter e) of EU Regulation 2016/679. In fact, precisely regarding the account subject to the complaint, a dispute had arisen between the parties regarding the management of the client portfolio (management that occurred through the account subject to the complaint) when the complainant exited the corporate structure. Following the transfer of shares, an agreement regarding the division of clients had been hypothesized between the parties, an agreement that was not followed up as the Company had to protect itself against the alleged diversion of clients.”

Finally, the Company reiterated that it had “activated the redirection to another account [...] as it was the only tool it had to manage the transitional situation and not lose clients. Another technical solution was not conceivable.”

3. The outcome of the investigation and the procedure for the adoption of corrective measures and
Sanctioning Authorities.

3.1. Outcome of the Investigation. Violation of Articles 12 and 17 of the Regulation.

As a result of the examination of the statements made to the Authority during the proceedings as well as the documentation acquired, it appears that the Company, as the data controller, has carried out certain processing operations related to the complainant that are not compliant with the regulations on the protection of personal data.

In this regard, it is highlighted that, unless the act constitutes a more serious offense, anyone who, in a proceeding before the Guarantor, falsely declares or certifies news or circumstances or produces false acts or documents is liable under Article 168 of the Code “Falsehood in declarations to the Guarantor and interruption of the execution of the tasks or the exercise of the powers of the Guarantor.”

In substance, it has emerged that the complainant, after sending the Company a “Notice to close the email address” subject to complaint on April 6, 2021, received a response from the Company on April 9, which included, among other things, the indication that “no direct use of the indicated email account is made by the Company [...], as it has redirected incoming mail to another dedicated mailbox; this, solely for the purpose of managing related orders and informing its customers via the different email that [the complainant] no longer collaborates with [the Company]” (Annex 3, Company note 9/3/2023). Subsequently, on July 5, 2021, almost three months after the previous request, the complainant sent a formal request to the Company for the “EXERCISE OF RIGHTS IN THE FIELD OF PERSONAL DATA PROTECTION (Articles 15-22 of Regulation (EU) 2016/679)” (Annex 6, complaint 3/8/2021), specifically exercising the right to object to the processing of their personal data via the email address and requesting the limitation of processing and the deletion of the aforementioned email address, without receiving a response.

The Company then responded on April 9, 2021, to the notice of April 6, 2021 (“to close the email

address" referred to the complainant) claiming that "no use" of the account was being made, despite immediately clarifying that the account itself had been redirected to another corporate account, a circumstance that instead involves the carrying out of processing activities by the Company. In response to the subsequent formal request to exercise the rights provided by the Regulation submitted by the complainant, the Company did not provide any feedback to the interested party. This conduct is in contrast with what is established by Article 17 of the Regulation, which states that the interested party has the right to obtain, from the data controller, the deletion "without undue delay" of personal data concerning them in the presence of specific reasons indicated by the regulation. The corresponding obligation placed on the data controller must follow the procedures prescribed by Article 12, particularly where it prescribes that "the data controller provides the interested party with information regarding the action taken concerning a request pursuant to Articles 15 to 22 without undue delay and, in any case, no later than one month from the receipt of the request itself." The Company should therefore have provided "no later than one month" a specific response to the request for deletion of the data processed following the termination of the employment relationship. Nor can what is provided by the aforementioned provisions be satisfied, as deemed by the Company, by the circumstance that the deletion would have been carried out "in fact," that is to say, without observing the specific procedures provided by the personal data protection regulations ("with times and in informal ways not provided for by the regulation": defensive memos 29/9/2023). This argument cannot be accepted both because the concrete modalities provided by the Regulation are an integral part of the right recognized to the interested party. Furthermore, from the documents of the proceedings, the date of the deletion of the email address subject to complaint does not emerge with certainty.

The Company, in fact, declared to the Guarantor that it had deactivated the email address during "the month of July 2021 and after the formal request of [the complainant]," attaching a statement from the provider that, on February 22, 2023, certifies that the email box subject to complaint "has been deleted for more than 3 months" (Annex 4, Company note 9/3/2023).

Based on the documentation provided by the data controller, it thus emerges that the deletion occurred on an unspecified date, prior to mid-December 2022.

Finally, it is noted that, even if the Company, as stated in the hearing of November 16, 2023, had not provided feedback to the request of the interested party in application of Article 17, paragraph 3, letter e) of the Regulation (under which the right to deletion does not apply if the processing is necessary "for the establishment, exercise or defense of a right in court"), it nonetheless should have provided feedback aimed at informing the interested party about the reasons for which the request was not being fulfilled, or provided partial feedback, and the remedies provided by the legal system against such a decision.

This in light of what is expressly established by Article 12, paragraph 4, of the Regulation, according to which the controller "If it does not comply with the request of the interested party, [...] informs the interested party without

delivers the necessary assessments in relation to the protection of personal data, and it is not bound by the specific complaints raised by the complainant. The Authority has the duty to ensure compliance with the regulations and can identify violations even if they were not explicitly mentioned in the initial complaint.

3.3. Violation of Article 12, Paragraph 4 of the Regulation.

Furthermore, it has been established that the Company failed to provide the complainant with a timely response regarding the exercise of their rights under the Regulation, specifically the right to erasure as per Article 17. The Company did not comply with the obligation to inform the complainant of the reasons for non-compliance and the possibility to appeal to a supervisory authority and to seek judicial remedy within the prescribed timeframe.

4. Conclusion.

In light of the above violations, the Company has not adhered to the principles of data protection as outlined in the Regulation. The failure to provide adequate responses and the improper handling of the complainant's data constitute serious breaches of the obligations imposed by the Regulation. The

Authority will take appropriate measures to ensure compliance and protect the rights of the data subjects involved.

exercises the powers attributed by Articles 57 and 58 of the Regulation independently of the requests made by the interested parties. The identified violation of the principle of minimization was contested with the notification of the initiation of the procedure on September 1, 2023, and on this point, the Company also exercised its right of defense.

It is finally highlighted that the legal framework does not grant the Authority any competence regarding the assessment of any damages suffered by the interested party as a result of the processing of personal data relating to them (see Article 82 of the Regulation and Article 152 of the Code).

4. Conclusions: declaration of unlawfulness of the processing. Corrective measures pursuant to Article 58, paragraph 2, of the Regulation.

For the reasons stated above, the Authority believes that the statements, documentation, and reconstructions provided by the data controller during the investigation do not allow for overcoming the observations notified by the Office with the initiation of the procedure and are therefore unsuitable to allow for the closure of the present procedure, as none of the cases provided for by Article 11 of the Garante Regulation No. 1/2019 apply.

The processing of personal data carried out by the Company, specifically the inadequate response to the deletion request submitted by the complainant and the redirecting—over a significant period of time—of the individualized email address after the termination of the collaboration with the complainant, is indeed unlawful, as outlined above, in relation to Articles 5, paragraph 1, letter c), 12, and 17 of the Regulation.

The violation identified in the terms of the reasoning cannot be considered "minor," taking into account the nature of the violation concerning the exercise of the rights of the interested party, the seriousness and duration of the violation itself, the degree of responsibility, and the manner in which the supervisory authority became aware of the violation (see Recital 148 of the Regulation).

Therefore, in light of the corrective powers attributed by Article 58, paragraph 2 of the Regulation, an administrative monetary penalty is imposed pursuant to Article 83 of the Regulation, commensurate with the circumstances of the specific case (Article 58, paragraph 2, letter i) of the Regulation).

5. Adoption of the injunction order for the application of the administrative monetary penalty and accessory penalties (Articles 58, paragraph 2, letter i), and 83 of the Regulation; Article 166, paragraph 7, of the Code).

At the conclusion of the procedure, it is found that MP1 s.r.l. has violated Articles 5, paragraph 1, letter c), 12, and 17 of the Regulation. For the violation of the aforementioned provisions, the application of the administrative monetary penalty provided for by Article 83, paragraph 5, letters a) and b) of the Regulation is foreseen, through the adoption of an injunction order (Article 18, Law 24.11.1981, No. 689).

It is deemed necessary to apply paragraph 3 of Article 83 of the Regulation, which states that "If, in relation to the same processing or related processing, a data controller [...] violates, with intent or negligence, various provisions of this Regulation, the total amount of the administrative monetary penalty shall not exceed the amount specified for the most serious violation," the total amount of the penalty is calculated so as not to exceed the maximum amount provided by the same Article 83, paragraph 5.

With reference to the elements listed in Article 83, paragraph 2 of the Regulation for the application of the administrative monetary penalty and its quantification, considering that the penalty must "in any case [be] effective, proportionate, and dissuasive" (Article 83, paragraph 1 of the Regulation), it is represented that, in this case, the following circumstances have been considered:

a) in relation to the nature, gravity, and duration of the violation, the nature of the violation concerning the general principles of processing and the exercise of the rights of the interested party, as well as the

duration of the violation itself (not less than seven months), has been considered significant;

b) with reference to the intentional or negligent nature of the violation and the degree of responsibility of the controller, the conduct of the Company and its degree of responsibility, which did not comply with the data protection regulations concerning multiple provisions, have been taken into account;

c) in favor of the Company, consideration has been given to its cooperation with the supervisory Authority, the fact that the identified violation concerned only the complainant, and the deletion of the email account that was the subject of the complaint.

It is also believed that the economic conditions of the offender, determined based on the revenues achieved by the Company concerning the ordinary financial statements for the year 2022, are relevant in this case, considering the aforementioned principles of effectiveness, proportionality, and dissuasiveness to which the Authority must adhere in determining the amount of the penalty (Article 83, paragraph 1, of the Regulation). Lastly, the amount of penalties imposed in similar cases is taken into account.

In light of the aforementioned elements and the assessments made, it is deemed appropriate, in this case, to impose on MP1 s.r.l. an administrative penalty of payment of an amount equal to €15,000 (fifteen thousand).

In this context, it is also considered, in light of the type of violations identified that concerned the exercise of the rights of the interested party, that pursuant to Article 166, paragraph 7, of the Code and...

pursuant to Article 16, paragraph 1, of the Regulation of the Guarantor No. 1/2019, the publication of this provision on the Guarantor's website is to be carried out. It is also considered that the conditions set out in Article 17 of Regulation No. 1/2019 are met.

ALL OF THE ABOVE CONSIDERED, THE GUARANTOR

notes the unlawfulness of the processing carried out by MP1 s.r.l., represented by its legal representative, with registered office at Via Umberto Agnelli, 11, Montecelio di Guidonia (RM), Tax Code 06613721007, pursuant to Article 143 of the Code, for the violation of Articles 5, paragraph 1, letter c), 12, and 17 of the Regulation;

ORDERS

pursuant to Article 58, paragraph 2, letter i) of the Regulation, MP1 s.r.l. to pay the sum of €15,000 (fifteen thousand) as an administrative pecuniary sanction for the violations indicated in this provision;

COMMANDS

therefore the same Company to pay the aforementioned sum of €15,000 (fifteen thousand), according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of subsequent enforcement actions pursuant to Article 27 of Law No. 689/1981. It is reminded that the violator retains the option to settle the dispute by paying – always according to the methods indicated in the annex - an amount equal to half of the imposed sanction, within the term set out in Article 10, paragraph 3, of Legislative Decree No. 150 of September 1, 2011, provided for the submission of the appeal as indicated below (Article 166, paragraph 8, of the Code);

DISPOSES

the publication of this provision on the Guarantor's website pursuant to Article 166, paragraph 7, of the Code and Article 16, paragraph 1, of the Regulation of the Guarantor No. 1/2019, and considers that the conditions set out in Article 17 of Regulation No. 1/2019 are met.

Pursuant to Article 78 of the Regulation, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, an appeal against this provision may be submitted to the ordinary judicial authority, with an application filed at the ordinary court of the place identified in the same Article 10, within thirty days from the date of communication of the provision itself, or sixty days if the appellant resides abroad.

Rome, January 24, 2024

THE PRESIDENT

Stanzione

THE RAPPORTEUR

Scorza

THE SECRETARY GENERAL

Mattei